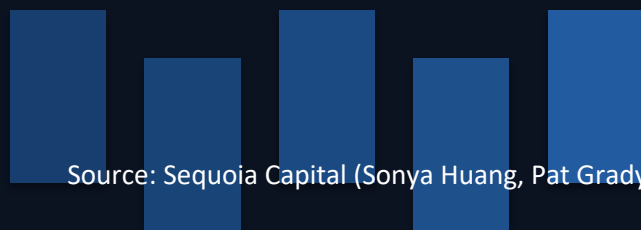


Generative AI's Act Two

From Technology Hammer to Real Value

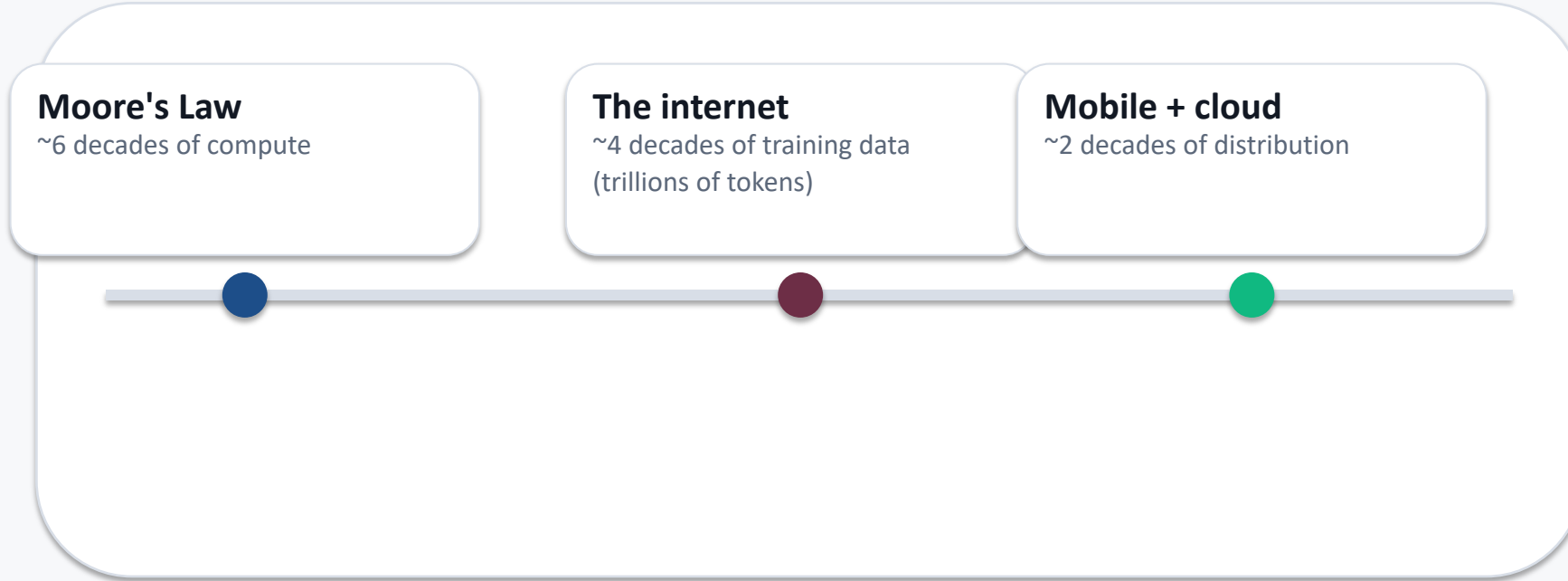
Sequoia Capital · September 2023



Source: Sequoia Capital (Sonya Huang, Pat Grady, GPT-4), Sep 20, 2023

Six Decades of Technological Progress Converged to Enable Gene

Compute + data + distribution accumulated over decades



Result: foundation models become possible at global scale

Source: Sequoia Capital, Generative AI's Act Two (Sep 20, 2023)

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

Explosive traction — but not yet durable product-market fit

>\$1B

Startup revenue reached in months
(vs years for SaaS)

ChatGPT

Fastest-growing application
in history

Midjourney

Hundreds of millions in
revenue with 11 employees

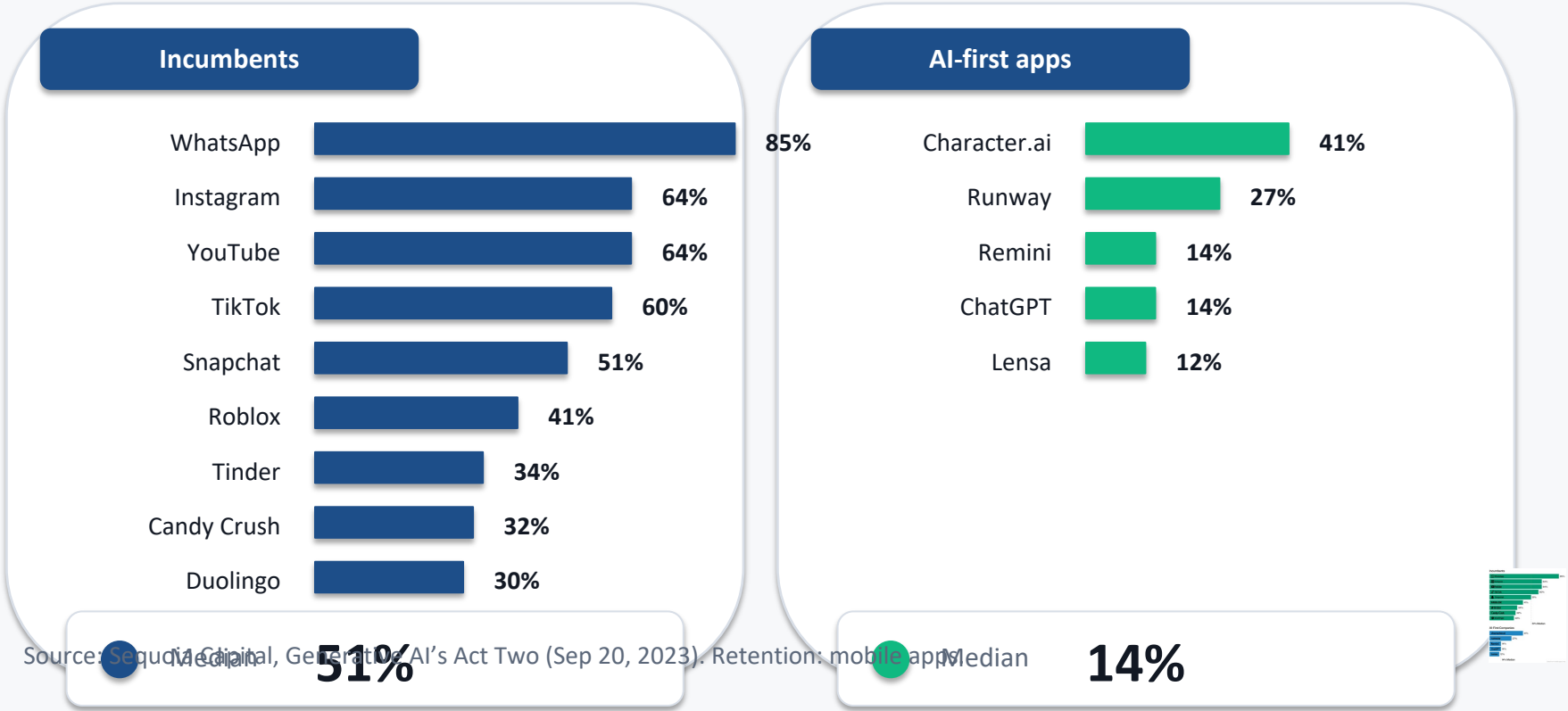
Character.ai

~2 hours average
session time

Source: Sequoia Capital, Generative AI's Act Two (Sep 20, 2023)

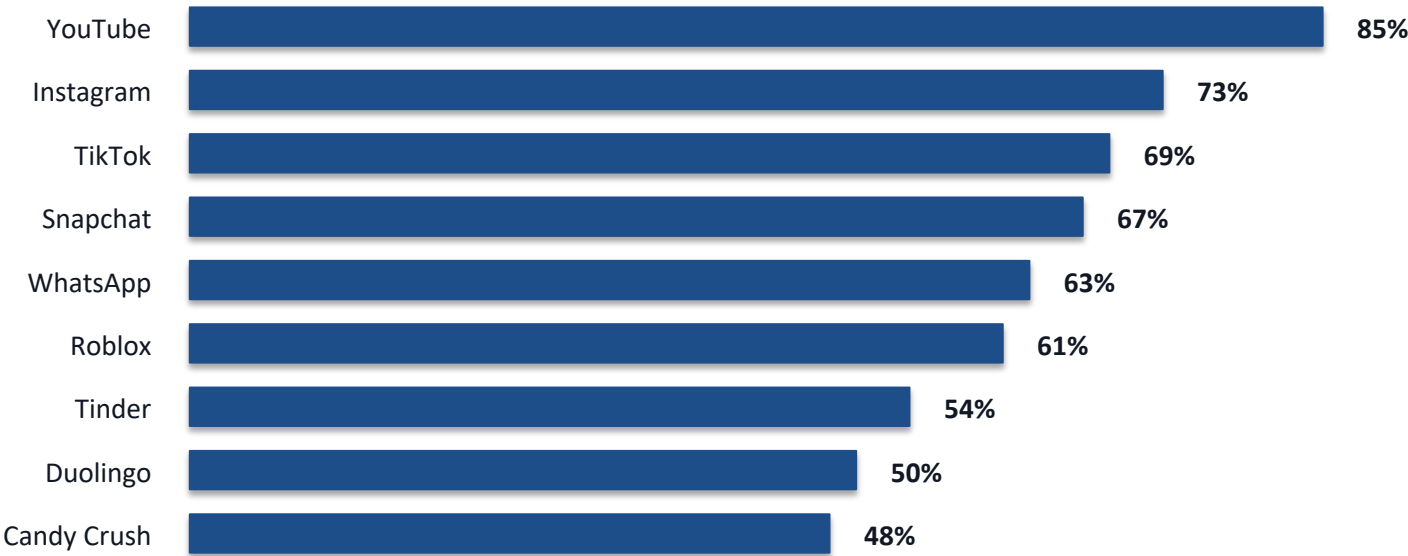
AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

Mobile app retention benchmark



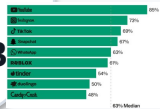
YouTube Leads Incumbents at 85% Monthly Active Usa

Incumbent engagement sets the baseline AI apps must clear



Median: 63

Source: Sequoia Capital, Generative AI’s Act Two (Sep 20, 2023). Monthly active usage: incumbents.



Act 1 Was Technology-Out; Act 2 Is Customer-Back

Foundation models shift from the product to a component

Act 1 — Technology-Out

Foundation models as the entire solution
Novelty demos; lightweight wrappers
Often lacks stickiness; poor retention

Act 2 — Customer-Back

Foundation models as a piece of a comprehensive solution
New editing interfaces improve workflows and outputs
Often multi-modal
End-to-end problem solving
Exemplars: Harvey, Glean, Character, Ava

Diagnosis: Act 1 shipped the model. Prescription: Act 2 ships the workflow.

Source: Sequoia Capital, Generative AI's Act Two (Sep 20, 2023)

Market Map Reorganized by Use Case, Not Model Modality

Act 2 categories reflect end-to-end value delivery

Then (Act 1)

Organized by model modality

Text

Image

Code

Now (Act 2)

Organized by use case (increasingly multi-modal)

Legal

Harvey

Enterprise search

Glean

Companionship

Character, Ava

Source: Sequoia Capital, Generative AI's Act Two (Sep 20, 2023)

Key Takeaways: What Separates Winners in Act Two

Retention is the critical challenge: 14% median for AI-first vs 51% for incumbents

Foundation models should be a component — not the whole product

Multi-modal, workflow-integrated solutions win

>\$1B+ startup revenue proves real demand exists despite hype cycles

Act 2 companies solve end-to-end human problems

Source: Sequoia Capital, Generative AI's Act Two (Sep 26, 2023)